

d. Car Insurance: An Unavoidable Part

Car insurance is an important safety net that you should not avoid. It helps when accidents happen, so you don't have to worry about big bills for repairs. It's a smart way to stay financially safe on the road.



There are mainly two types of car insurance out of which one is mandated by the government and other one is highly recommendable.

1. Third-Party Insurance (Compulsory)

This insurance is mandatory and provides protection against damages caused by your car to a third party's property, vehicle, or a person. In simpler terms, if your car is involved in an accident and causes harm to someone else's belongings or injures them, third-party insurance helps cover the costs. It's a legal requirement as per motor vehicle act and not having it can lead to a traffic fine. While it's more focused on others, it ensures you're financially covered for the unintentional harm your car may cause.

